

Shanti Prasad Jain vs Kalinga Tubes Ltd. on 14 January, 1965

Equivalent citations: AIR1965SC1535, [1965]35COMPCAS351(SC), [1965]2SCR720

Bench: P.B. Gajendragadkar, K.N. Wanchoo, S.M. Sikri

JUDGMENT

Wanchoo, J.

1. These fourteen appeals on certificates granted by the High Court of Orissa raise common questions of law and fact and will be dealt with together. They are a consequence of a fight between two groups of business magnates for the control of Messrs. Kalinga Tubes Limited (hereinafter referred to as the company). They arise out of an application under Sections 397, 398, 402 and 403 of the Companies Act, 1956 (1 of 1956) (hereinafter referred to as "the Act") made by the appellant in the High Court. Most of the facts are not seriously in dispute and it is necessary to set them out in detail in order to decide the main point raised on behalf of the appellant, namely, that the affairs of the company were being conducted in a manner oppressive to him and his group of members.

2. The company was floated as a private limited company on December 1, 1950, with an authorised capital of Rs. 25 lakhs. Originally, the shares were held by two groups of shareholders equally, except a few shares. These groups of shareholders may for our purposes be taken to be represented by Patnaik and Loganathan. The company raised a sum of Rs. 36 lakhs by the issue of two series of debentures which were guaranteed by the Government of Orissa between 1952 to 1954. In 1954, the appellant was approached by Dr. Mohanty, then Secretary to the Government of Orissa (Industries Department), which was naturally interested in the company having guaranteed debentures to the tune of Rs. 36 lakhs, for helping the company which was in financial and administrative difficulties. The appellant was requested to help the company by providing finance and by arranging loans from banks and other sources and further by providing the necessary administrative guidance. The appellant agreed to do so and, consequently, on July 27, 1954, an agreement was entered into between the appellant, and Patnaik and Loganathan. To this agreement, the company was not a party.

In brief, the agreement provided that the appellant would be allotted shares in the company equal to those held by Patnaik and Loganathan after increasing the share capital of the company. Thus the company would have three groups of shareholders represented by the appellant, Patnaik and Loganathan holding equal number of shares, besides a French company and one Rath, who between themselves held shares worth Rs. 4 lakhs. It was also provided that these three groups of shareholders would have equal number of representatives on the board of directors of the company, namely, two each for the time being. The appellant also undertook to arrange for cash credit facilities to the limit of Rs. 50 lakhs on the security of raw materials and finished goods of the company. And finally, the appellant, Jain, was to be the chairman of the company. This agreement was followed by certain resolutions passed by the company on August 16, 1954, by which some of the terms of the agreement were substantially carried out, the authorised capital was increased to rupees one crore, and the appellant was made the chairman of the company. In January, 1955, Narayanaswami, who had been appointed managing director, resigned and Patnaik was appointed the managing director.